by Indians in one quarter. There was red ink everywhere. Railways' passenger kilometres were down by 99.5 per cent, airline passengers by 94 per cent, sales of commercial vehicles by 84 per cent, cement production by 38 per cent and steel by 57 per cent. Manufacturing was down by 40 per cent, mining by 22 per cent and electricity by 16 per cent. All this was reflected in consumption reducing, in nominal terms, by over Rs 7 trillion (24.46 per cent) and capital formation by another Rs 6.82 trillion (47.9 per cent). Exports, imports or for that matter any indicator, except agriculture production and government expenditure, were down.

Second quarter GDP contraction at 7.3 per cent, in itself one of the largest contractions in India's economic history, came as a big relief against the backdrop of the slump in the first quarter of 2020–21. Nominal GDP, in current prices, was still less at Rs 47.3 lakh crore, compared to the nominal GDP of Rs 49.5 trillion in Q2 of 2019–20. India lost more than Rs 2 trillion of income in the second quarter.

NSO released advanced GDP estimates on 7 January 2021 as usual. GDP contraction for 2020–21 was estimated at 7.7 per cent. The second advanced estimates released on 26 February increased the annual contraction to 8 per cent. Finally, in the provisional estimates released on 31 May 2021, GDP contraction was printed at 7.3 per cent. This involved a little bit of adjustment as food subsidy payments for earlier years made in 2020–21 were ignored to make taxes net of subsidies somewhat higher, limiting the GDP contraction to some extent.

India has never contracted to this extent anytime in the past. In nominal terms, Indians lost an income of about Rs 6 lakh crore in absolute terms over 2019–20. Compared to the expected nominal GDP of Rs 223 lakh crore, Indians lost an income of Rs 25 lakh crore. In real terms from the consumption side, private consumption has been estimated to decline from Rs 83.22 trillion to Rs 75.61 lakh crore and GFCF from Rs 47.30 trillion to